government. While monetary and defence policies need to be done by the Union government, policies on drinking water and elementary schools need not. The preferences of Kerala's population, on the role and status of women, will diverge from those in Uttar Pradesh, and this should play out into policy thinking in Kerala. Kerala may create rules requiring that half of all policemen should be women before this is done in Uttar Pradesh.

The optimal design of processes *within* government also varies with locale. As an example, the price of a schoolteacher in Kerala should diverge from that in Bihar. The Mumbai municipality should have different internals when compared with the Kolkata municipality. By imposing uniformity in the working of government, we inevitably reduce the quality of working of government.

The second involves creating structures that favour migration. When wages are higher in Kerala, or when women have greater freedom in Kerala, this creates an incentive for people to migrate from Uttar Pradesh to Kerala. Alongside this, free movement within the country of capital and enterprise helps exploit the 'equalizing differences' feature of the market economy. If labour is cheap in Uttar Pradesh, firms may like to reduce costs by investing in UP. This process is limited by the extent to which basic public goods in UP are of acceptable quality and the extent to which goods and services move freely through the country.

The third involves fiscal transfers through which the per capita resources available to the state government in poor states are higher than the per capita taxation that is done in those states. This creates the opportunity for local politicians to undertake actions that make progress on policy problems within a larger budget set than would be feasible if local tax revenues were the only resource base.

Rethinking state and local government

The subsidiarity principle asserts that a function should be placed at the lowest level of government where it can possibly be performed. Mosquito